

Switzerland

“FIFA v. PUMA”

**Decision of the Federal Supreme Court of Switzerland
(Bundesgericht)
6 April 2022 – Case No. 4A_518/2021 and 4A_526/2021**

*Fédération Internationale de Football Association
(FIFA) v. PUMA SE and PUMA SE v. Fédération
Internationale de Football Association (FIFA)*

Trade Mark Act, Art. 2 lit. a and c

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Keywords Event mark · Distinctiveness · Likelihood of confusion · Absolute ground for refusal · Registrability · Invalidity · Misleading signs · Distinctiveness acquired through use

1. Article 2 lit. c of the Trade Mark Act can particularly preclude the protectability of signs that refer to a certain event of public interest (here: World Cup 2022 in Qatar) when they raise false expectations.
2. A risk of deception can arise among other things from the sign leading to an incorrect conclusion regarding the commercial relationships of the trade mark proprietor.
3. The ground for refusal under Art. 2 lit. c Trade Mark Act applies to a mark that contains false or misleading information even if it also contains other components that, taken by themselves, are not objectionable, and lend the mark a distinctive character.
4. Support of teams or players participating in a football tournament as the one in question (“indirect sponsoring”) is a too weak and merely indirect connection to the event and thus does not rectify a deception.
5. Event trade marks such as the word combinations “QATAR 2022” and “WORLD CUP 2022” should be considered as a part of the public domain within the meaning of Art. 2 lit. a of the Trade Mark Act.
6. Merely because the application for protection through entry in the register concerns the designation of an event, which is why such marks are sometimes known as “event marks”, does not mean that different – far lower – standards than those required for other marks apply in the assessment of their absolute

Translated from the German by Allison Felmy.

capability of protection. The so-called “event mark” is also subject to the general trade mark provisions.

Facts

A.

A.a. The Fédération Internationale de Football Association (FIFA; plaintiff, counter-respondent) is an association governed by Swiss law domiciled in Zurich. As the world football organisation, it organises among other things the men’s football world championships every four years.

PUMA SE (defendant, counterclaimant) is a European stock company domiciled in Herzogenaurach, Germany. It is a publically listed German company that sells sport articles and manufactures shoes, textiles and accessories, primarily in the area of football.

A.b. PUMA SE on 2 October 2018 and on 19 February 2019 had the two trade marks No. 727 955 “PUMA WORLD CUP QATAR 2022” and No. 735 189 “PUMA WORLD CUP 2022” entered in the Swiss Trade Mark Register for various goods of Classes 18, 25 and 28 – in particular sport articles, clothing and accessories.

FIFA is the proprietor of the two following trade marks, both entered on 5 December 2018 in the Swiss Trade Mark Register in respect of several goods and services – among other things for sponsoring and merchandising products:

No. 725 428:

QATAR 2022

No. 725 429:

WORLD CUP 2022

B.

B.a. On 3 May 2019 FIFA brought an action before the Commercial Court of the Canton of Zurich against PUMA SE with the following claims – which were amended in the course of proceedings:

1. To have the defendant’s Swiss trade mark CH No. 727 955 “PUMA WORLD CUP QATAR 2022” declared invalid in respect of all goods claimed and the Federal Institute for Intellectual Property ordered to annul the Swiss trade mark CH No. 727 955 “PUMA WORLD CUP QATAR 2022”;
2. To have the defendant’s Swiss trade mark CH No. 735 189 “PUMA WORLD CUP 2022” declared invalid in respect of all goods claimed and the Federal Institute for Intellectual Property ordered to annul the Swiss trade mark CH No. 735 189 “PUMA WORLD CUP 2022”;

3. To have the defendant enjoined with immediate effect, on penalty of punishment of its governing bodies with a fine pursuant to Art. 292 of the Criminal Code for violation and on penalty of administrative fine for each day of non-compliance pursuant to Art. 343(1) lit. c of the Code of Civil Procedure, from using or having third parties use the designation “PUMA WORLD CUP QATAR 2022” in Switzerland in the course of trade in connection with
4. [*several accessories, articles of clothing, sport articles etc.*].
5. To have the defendant enjoined with immediate effect, on penalty of punishment of its governing bodies with a fine pursuant to Art. 292 of the Criminal Code for violation and on penalty of administrative fine for each day of non-compliance pursuant to Art. 343(1) lit. c of the Code of Civil Procedure, from using or having third parties use in Switzerland in the course of trade the designation “PUMA WORLD CUP 2022” in Switzerland in the course of trade in connection with [*several accessories, articles of clothing, sport articles etc.*].
6. Resultant costs and compensation (incl. VAT) being at the expense of the defendant.

The defendant requested that the action not be considered; alternatively, that it be dismissed. In addition, it brought a counterclaim with the following claim:

that ... the plaintiff's Swiss trade marks CH No. 725428 “QATAR 2022” (fig.) and CH No. 725429 “WORLD CUP 2022” (fig.) be declared invalid by way of counterclaim in respect of all claimed goods and the Swiss Institute for Intellectual Property be directed to annul the two aforementioned trade marks.

B.b. With judgment of 31 August 2021 the Commercial Court dismissed both the main claim (point 1) and the counterclaim (point 2). It set the court fee at CHF 40,000.00 (point 3), ordered the parties to share the costs equally (para. 4) and declined to award party compensations (point 5).

[...]

C.

Both parties lodged civil appeal(s) with the Federal Supreme Court against the decision of the Commercial Court of the Canton of Zurich of 31 August 2021.

The plaintiff requests in proceeding 4A_518/2021 that points 1, 4 and 5 of the commercial court's decision of 31 August 2021 be set aside and the claims be affirmed. In the alternative, it requests that the matter be remanded to the previous instance for re-evaluation.

The defendant requests in proceeding 4A_526/2021 that its counterclaim be affirmed – in effect, after the setting aside of point 2 of the contested decision. In the alternative, it requests that the matter be remanded to the previous instance for re-evaluation.

The defendant requests in its rejoinder to the appeal that the plaintiff's appeal be dismissed. The plaintiff for its part considers that the defendant's appeal must be dismissed insofar as it is to be considered. The lower court waived its right to be heard.

[...]

Findings:

[...]

Plaintiff’s appeal (4A_518/2021)

3.

The plaintiff accuses the previous instance of having violated Art. 2 lit. c of the Trade Mark Act (SR 232.11) in several respects in its assessment of the action.

3.1

3.1.1. According to Art. 2 lit. c of the Trade Mark Act, misleading signs are categorically excluded from trade mark protection. The provision is intended to prevent misleading signs from harming competition and specifically market transparency. Moreover, the absolute ground for refusal given in Art. 2 lit. c of the Trade Mark Act guarantees the principle of good faith in commercial transactions that characterises the entire legal system: the market participants’ faith in the information a sign provides should not be betrayed [...]. Correspondingly, no exclusive rights under trade mark law with the respective defensive claims can be granted for misleading and thus competition-distorting signs. The state, which lends its instruments of power to protect a trade mark, should not protect practices that are irreconcilable with the principle of good faith in commercial dealings [...].

Article 2 lit. c of the Trade Mark Act merely prevents the registration and grant of protection; it does not on the other hand prohibit the use of misleading signs nor the misleading use of signs that are lawful as such [...]. This type of use of signs must be evaluated under different provisions of the law, for example, Art. 47(3) of the Trade Mark Act or Art. 2 and Art. 3(1) lit. b of the Act Against Unfair Competition (UWG; SR 241).

3.1.2. When assessing whether a misleading sign is given, the only decisive factor is whether the information is objectively capable of arousing false ideas or expectations in the buyer about the offer bearing the sign; the risk that the relevant public will be misled is sufficient [...]. The risk of consumers being misled must be assessed with regard to the concrete goods or services claimed [...]. Accordingly, what is decisive is whether from the perspective of the relevant public the trade mark is endowed with meaning that can be misleading in connection with the claimed products [...].

A risk of deception can arise among other things from the sign leading to an incorrect conclusion regarding the commercial relationships of the trade mark proprietor [...]. Art. 2 lit. c of the Trade Mark Act can particularly preclude the protectability of signs that refer to a certain event of public interest when they raise false expectations [...].

3.1.3. As a matter of principle, the Federal Court has the competence to examine as a legal question how to delineate the relevant addressed public for the claimed goods or services and how the general public perceives the sign based on their expected degree of circumspection [...]. Accordingly, the Federal Court is also competent to test whether the sign is capable of arousing false ideas or expectations in the public [...].

3.2

3.2.1. According to the statements in the decision under appeal, it is uncontested that the defendant intends to use the trade marks at issue in the dispute to refer to the plaintiff's football World Cup to be held in Qatar in 2022 and not to any other World Cup in any other sport. It cannot be accepted when the defendant denies before the Federal Court that the public associates both its marks in dispute with the 2022 football World Cup in Qatar. As the plaintiff rightly argues, it must be assumed that the Swiss consumers of sports goods, clothing and accessories will construe the sign component "WORLD CUP QATAR 2022" as a direct reference to the football World Cup to be held in Qatar in 2022. Which other World Cup taking place in Qatar at the same time might be intended, from the perspective of the relevant public, the defendant is not able to show. In light of the considerable significance of football as a sport in Switzerland and the well-known exceptionally high interest of the Swiss public in the football World Cup, which is held every four years, it would seem obvious that this is also true of the sign's component "WORLD CUP 2022".

The connection of the components "PUMA" and "WORLD CUP QATAR 2022" or "WORLD CUP 2022" raises the expectation among the relevant public of a special relationship of the trade mark proprietor with the 2022 football World Cup organised by the plaintiff: the average Swiss consumer assumes, based on the selected combination of sign components, that the products thus labelled – in particular sports goods, clothing and accessories – come from a company that acts as a main sponsor of the football World Cup taking place in Qatar. This cannot be altered by the fact mentioned in the contested decision that the target public is fully aware that official outfitters, suppliers, sponsors, etc. clearly indicate their status, for instance by using official logos with the acronym "FIFA" or terms like "sponsor". As the plaintiff correctly explains, the assessment of a risk of deception emanating from a sign is register-based in the sense that the sign is considered in the form applied for, and the concrete use (including informative notices on the goods, the packaging or the display environment) must be disregarded [...]. Even if one would assume that Swiss consumers were aware of this, when looking at the signs "PUMA WORLD CUP QATAR 2022" or "PUMA WORLD CUP 2022" abstractly, there is no reason why this awareness should eliminate the expectation of a special relationship of the trade mark proprietor to the 2022 football World Cup in Qatar.

Nor can it be concluded from the mere fact that the designation "FIFA WORLD CUP" was used in the context of the 2018 football World Cup that the relevant consumers would automatically rule out a special connection to the upcoming 2022 football World Cup due to the absence of the prefix "FIFA". As the plaintiff

correctly argues, the reasonably observant Swiss consumer will take from the two registered trade marks “PUMA WORLD CUP QATAR 2022” and “PUMA WORLD CUP 2022” the information that PUMA is a title sponsor of the 2022 football World Cup in Qatar. As this is a future event, this expectation is aroused even if there was not in fact any title or name sponsoring at football world championships in the past.

The defendant’s argument that the use of the terms “WORLD CUP QATAR 2022” and “WORLD CUP 2022” is not construed as a reference to the plaintiff’s goods and services, but is descriptive, while in fact correct (on this para. 6 *infra*), does not change the fact that the expectation is aroused in the relevant public by the two registered signs, which arises precisely through the linking of “PUMA” with these terms. The previous instance also fails to recognise this when it assumes that the use of the prefixed “PUMA” argues against a finding of deception. The ground for refusal under Art. 2 lit. c Trade Mark Act applies to a mark that contains false or misleading information even if it also contains other components that, taken by themselves, are not objectionable, and lend the mark a distinctive character [...]. Furthermore, contrary to the view put forward by the defendant, what this provision addresses is not a misconception with respect to a sign with better standing owned by the plaintiff, much less a risk of confusion under trade mark law (cf. on the relative grounds for refusal Art. 3 Trade Mark Act), but an absolute ground for refusal that cannot be evaluated by analogy to a different sign or exclusive right [...].

3.2.2. The lower court ascertained as facts in this case that the defendant is neither an official sponsor nor a partner or (co-)organiser of the 2022 football World Cup in Qatar. According to this, the expectations aroused by the two signs in suit in the target public are disappointed, and one must assume misleading signs, which under Art. 2 lit. c Trade Mark Act are excluded from trade mark protection. The objection raised by the defendant – that its support of the teams or players participating in the football tournament in question gives rise to what must be considered “indirect sponsoring” – was rightly rejected by the lower court. Such a weak and merely indirect connection to the football World Cup to be held in Qatar in 2022 is not sufficient to meet the expectations raised by the two trade marks. This does not rectify a deception.

The lower court cannot be followed then when it points out that in relation to players’ jerseys, which the plaintiff requires to be labelled with its official distinguishing marks, the plaintiff basically acquiesced to the defendant’s making a certain (indirect) reference to the 2022 football World Cup in its communications in this respect. The subject of the claim for a declaration of invalidity of the two registered trade marks is not the extent to which the plaintiff has “to assume and tolerate a proximity of the outfitters and sponsors of teams participating in the event and a corresponding reference” based on its conduct. Instead, the question is solely whether on the basis of the two registered signs – independent of a concrete use – the risk that the targeted public will be misled is given and therefore no trade mark protection is granted for these signs. Whether a concrete use of the signs by the defendant in reference to the 2022 football World Cup is permissible or whether it

can instead be prohibited by the plaintiff is not the subject of the declarative claims (1 and 2), which must be assessed first, but only of the two injunctive claims (3 and 4).

3.3

The two signs registered by the defendant, “PUMA WORLD CUP QATAR 2022” and “PUMA WORLD CUP 2022”, must therefore be denied trade mark protection pursuant to Art. 2 lit. c of the Trade Mark Act. Accordingly, declarative claims 1 and 2, based on Art. 52 of the Trade Mark Act, are to be granted and the two trade marks annulled in the trade mark register.

4.

The previous instance declined to examine the two injunctive claims Nos. 3 and 4 (prohibiting use of the designations “PUMA WORLD CUP QATAR 2022” and “PUMA WORLD CUP 2022” in the course of trade), stating that the two marks are not invalid in the sense of Art. 52 of the Trade Mark Act. This assessment proved to be incorrect, which is why the matter must be remanded to the previous instance for an evaluation of these two injunctive claims based on the Act Against Unfair Competition.

5.

In a partial affirmation of the plaintiff’s appeal (proceeding 4A_518/2021), points 1, 4 and 5 of the disputed decision of the Commercial Court of the Canton of Zurich of 31 August 2021 are to be annulled, the Swiss trade marks No. 727 955 “PUMA WORLD CUP QATAR 2022” and No. 735 189 “PUMA WORLD CUP 2022” are to be declared null and void in respect of all claimed goods, and the Federal Institute for Intellectual Property (IPI) is to be directed to annul the two marks in the trade mark register. In all other respects, the matter is to be remanded to the previous instance for an assessment of claims 3 and 4 and for a new determination of the consequences of the cantonal proceedings in terms of costs and compensation (cf. Art. 67 and Art. 68(5), second sentence, Federal Court Act).

The defendant’s appeal (proceeding 4A_526/2021)

6.

The defendant accuses the previous instance of having wrongly deemed plaintiff’s two combined word-and-figurative marks No. 725 428 “QATAR 2022” and No. 725 429 “WORLD CUP 2022” to have distinctiveness and to be eligible for protection pursuant to Art. 2 lit. a of the Trade Mark Act.

6.1. The previous instance considered that the assessment of public domain status must be carried out based on the overall impression. In view of relevant case law and literature on comparable event trade marks the word combinations “QATAR 2022” and “WORLD CUP 2022” should also be considered as a part of the public domain within the meaning of Art. 2 lit. a of the Trade Mark Act. Whether a public

asset is actually given can, however, remain open due to the fact that it is in any case a word-figurative mark with graphics elements (stylised football in the place of a “zero”) that is present. With regard to distinctiveness it must be acknowledged that what is needed to assume that a word-figurative mark has sufficient distinctiveness is not a particularly elaborate design. With respect to the size, the stylised football inserted in the logo corresponds more or less to a number, or to the substituted “zero”. With the logos being nine and 12 letters long, in terms of size alone one cannot speak of a negligent graphic element. On the contrary, the football depicted is striking and it is clear that this ball – even at a mere glance – will be noticed. It is doubtless an element that characterises the overall impression, and that furthermore is capable of creating a recognisable connection to football as such and, in combination with the words, to the football World Cup organised by the plaintiff. All in all it cannot be denied that the plaintiff’s trade marks have distinctiveness. Under these circumstances, the issue of acquired distinctiveness need not be explored.

6.2

6.2.1. According to the legal definition enshrined in Art. 1(1) of the Trade Mark Act every sign that is capable of distinguishing goods or services of one undertaking from those of another undertaking is susceptible of protection as a trade mark. A trade mark serves to individualise the products of an undertaking and delimit them from rival products. Any further economic function such as for advertising, raising profile or communication of the trade mark proprietor in competition does not enjoy independent protection [...].

6.2.2. According to Art. 2 lit. a of the Trade Mark Act, signs that are a part of the public domain are excluded from protection as trade marks unless they have acquired recognition as trade marks through use in respect of the goods or services for which they are claimed. The grounds for refusal of protection to signs in the public domain lie either in the need to keep them free or in their lack of distinctiveness; the two can overlap [...]. The need to keep signs free applies to signs whose use is relied upon in trade. Distinctiveness is lacking in signs that cannot fulfil the specific distinguishing function of a trade mark because of their appearance or their generic nature or descriptive content [...]. Not susceptible of protection according to the case law of the Federal Court are, in particular, signs that do no more than designate the kind, quality, quantity, intended purpose, value or other characteristics of the good or service and therefore do not display the distinctiveness necessary to identify the latter. The descriptive character of such indications must be immediately recognisable by the target public without any particular mental effort or imagination. It is sufficient that this is the case in one language area of Switzerland [...]. English expressions can be considered insofar as they are understood by a non-negligible portion of the relevant public [...].

Whether a sign can be considered as a trade mark is evaluated according to the overall impression that it leaves in the minds of the relevant target public [...]. Whether the relevant addressees perceive a sign in respect of the claimed products as an indication of an undertaking must be assessed in consideration of the entire

circumstances [...]. A sign is capable of protection as inherently distinctive when, on the basis of a minimal original distinctiveness, it is capable of individualising the goods and services labelled with it and it thus allows the consumer to recognise these in the general offerings of similar goods and services [...]. In the course of the examination of whether this requirement is fulfilled, the sign must be considered in the form in which it was registered by the applicant. The consequences of the use of the sign – whether in the past or in the future – on the perception by the relevant consumers must remain outside the scope of this consideration. The sign must be capable in and of itself, and independent of its use, of distinguishing the goods and services of the trade mark proprietor from those of other sellers [...].

6.2.3. Here as well, as a matter of principle the Federal Court examines as a legal question how to define the relevant consumers for the claimed goods or services and how the general public perceives the sign on the basis of its expected degree of attention [...].

6.3

6.3.1. The previous instance correctly based its assessment of the protectability of the two signs “QATAR 2022” (fig.) and “WORLD CUP 2022” (fig.) as trade marks on the basic principles of Art. 2 lit. a of the Trade Mark Act. Merely because the application for protection through entry in the register concerns the designation of an event, which is why such marks are sometimes known as “event marks”, does not mean that different – far lower – standards than those required for other marks apply in the assessment of their absolute capability of protection [...]. The so-called “event mark” is also subject to the general trade mark provisions [...].

6.3.2. The plaintiff does not deny that the word combinations “QATAR 2022” and “WORLD CUP 2022” are construed by the target public as a reference to the football world championships being held in Qatar this year. The combination of the place and the year of the event or “World Cup” and the year – such as for instance the German term “*Weltmeisterschaft*” or “WM” or “*Europameisterschaft*” or “EM” together with the year it takes place – is particularly common with respect to sporting events and is readily understood to be a reference to the sporting event taking place in the respective year or at the respective place. The public sees such a designation as a description of the event itself and not as a reference to its organiser or to the origin of the products thus designated [...].

Nor does the added football-shaped zero in each of the signs in dispute change this; on the contrary, this descriptive reading is actually increased due to the visually conveyed meaning by means of a reference to the specific sport in question. The previous instance fails to recognise this when it states that the figurative element obviously refers to football, but considers this same element to shape the overall impression and establish distinctiveness. Incidentally, the previous instance also presumes only that the registered signs are in their overall impression able to create a reference to the 2022 football World Cup organised by the plaintiff, meaning that in the outcome it is also assuming a reference to the sporting event in question. The directly descriptive figurative element, which is banal in its graphic representation,

is not able to lend the sign the requisite minimal level of distinctiveness. In contrast to the combined word-and-figurative marks the plaintiff refers to as comparable, which display either a fantastical figurative element or a special font, in the signs in dispute here neither the figurative element nor the typeface is perceived as being so imaginative that it becomes distinctive in the overall impression [...].

The two signs which the plaintiff applied to have entered in the trade mark register, “QATAR 2022” (fig.) and “WORLD CUP 2022” (fig.), are lacking in inherent distinctiveness. The two signs are directly descriptive, both of the sporting event itself and of the goods and services related to its organisation. Consumers associate with them the sporting event as such and see in them no indication of a manufacturer or organiser. As regards the claimed merchandise items as well, which as such display no direct reference to the football event, consumers only see a reference to the well-known event itself, without assuming that the designation identifies the origin of products bearing it as a certain undertaking [...]. The plaintiff does not assert that the target public must be assumed to have a special understanding of certain of the claimed goods or services that differs from the perception of the public as described.

In the absence of inherent distinctiveness, the signs at issue in the dispute are not susceptible of protection as a trade mark. The previous instance left open the question of distinctiveness acquired through use. However, since the two signs according to the statements in the decision under appeal have not yet even been used, it is inconceivable how distinctiveness could have been acquired by use, nor is this asserted by the plaintiff.

6.4. The two signs for which applications were lodged, “QATAR 2022” (fig.) and “WORLD CUP 2022” (fig.), must therefore be denied trade mark protection absolutely in accordance with Art. 2 lit. a of the Trade Mark Act. Accordingly, the counterclaim is to be affirmed and the two registered trade marks declared invalid on the basis of Art. 52 of the Trade Mark Act.

7.

In favour of the defendant’s appeal (4A_526/2021), point 2 of the contested judgment of the Commercial Court of the Canton of Zurich of 31 August 2021 is to be set aside, the Swiss trade marks No. 725 428 “QATAR 2022” (fig.) and No. 725 429 “WORLD CUP 2022” (fig.) are to be declared invalid in respect of all goods and services claimed, and the IPI is to be directed to annul the two trade marks in the Trade Mark Register.

In accordance with the outcome of the proceedings, the court costs are to be shared equally by the parties (Art. 66(1) Federal Court Act). Party compensations shall cancel each other out (Art. 68(1) Federal Court Act).

[...]